Management's Statement of Responsibility

Management recognizes its responsibility for conducting the Company's affairs in the best interests of all of its shareholders. The consolidated financial statements and related information in the annual report are the responsibility of management. The consolidated financial statements have been prepared in accordance with Canadian generally accepted accounting principles which involve the use of judgment and estimates in applying the accounting principles selected. Other financial information in the annual report is consistent with that in the consolidated financial statements.

The Company maintains systems of internal controls which are designed to provide reasonable assurance that accounting records are reliable and to safeguard the Company's assets. The Company's independent auditors, KPMG LLP, Chartered Accountants, have audited and reported on the Company's consolidated financial statements. Their opinion is based upon audits conducted by them in accordance with Canadian generally accepted auditing standards to obtain reasonable assurance that the consolidated financial statements are free of material misstatement.

The Audit Committee of the Board of Directors, all of whom are independent of the Company or any of its affiliates, meets periodically with the independent external auditors, the internal auditors and management representatives to review the internal accounting controls, the consolidated quarterly and annual financial statements and other financial reporting matters. Both the internal and independent external auditors have unrestricted access to the Audit Committee. The Audit Committee reports its findings and makes recommendations to the Board of Directors.



RICHARD A. LAN
President and
Chief Executive Officer



MICHAEL H. VELS
Chief Financial Officer

Auditors' Report

We have audited the consolidated balance sheets of Canada Bread Company, Limited as at December 31, 2002 and 2001 and the consolidated statements of earnings, retained earnings and cash flows for the years then ended. These financial statements are the responsibility of the Company's management. Our responsibility is to express an opinion on these financial statements based on our audits.

We conducted our audits in accordance with Canadian generally accepted auditing standards. Those standards require that we plan and perform an audit to obtain reasonable assurance whether the financial statements are free of material misstatement. An audit includes examining, on a test basis, evidence supporting the amounts and disclosures in the financial statements. An audit also includes assessing the accounting principles used and significant estimates made by management, as well as evaluating the overall financial statement presentation.

In our opinion, these consolidated financial statements present fairly, in all material respects, the financial position of the Company as at December 31, 2002 and 2001 and the results of its operations and its cash flows for the years then ended in accordance with Canadian generally accepted accounting principles.

KPMG LLP

Chartered Accountants
Toronto, Canada,
February 19, 2003

CONSOLIDATED BALANCE SHEETS

(in thousands of Canadian dollars) As at	December 31, **2002**	December 31, 2001
ASSETS		
Current Assets:		
Cash	**$ 12,389**	$ —
Accounts receivable (note 3)	**59,911**	25,211
Due from related company	**—**	6,461
Inventories	**30,512**	21,133
Future tax asset (note 10)	**5,274**	3,094
Prepaid expenses	**2,490**	2,739
	110,576	58,638
Property and equipment (note 4)	**334,606**	251,170
Other long-term assets	**3,098**	6,307
Goodwill and other intangibles	**346,083**	126,980
	$ 794,363	$ 443,095
LIABILITIES AND SHAREHOLDERS' EQUITY		
Current Liabilities:		
Bank indebtedness	**$ —**	$ 665
Accounts payable and accrued charges	**157,578**	95,061
Due to parent company	**13,078**	—
Dividends payable	**1,285**	1,285
Income and other taxes payable	**11,862**	7,287
Current portion of long-term debt (note 5)	**7,954**	8,838
	191,757	113,136
Long-term debt (note 5)	**263,716**	36,275
Future tax liability (note 10)	**34,179**	38,182
Minority interest	**—**	4,348
Shareholders' equity (note 7)	**304,711**	251,154
	$ 794,363	$ 443,095

Contingencies and commitments (note 14)

Subsequent events (notes 5 and 15)

See accompanying notes to consolidated financial statements.

On behalf of the Board



Richard A. Lan
Director



John L. Bragg
Director

Consolidated Financial Statements

CONSOLIDATED STATEMENTS OF EARNINGS

(in thousands of Canadian dollars, except per share amounts) Years ended	December 31, **2002**	December 31, 2001
Sales	**$ 1,028,571**	$ 678,348
Earnings from operations	**$ 63,799**	$ 36,397
Other income (note 8)	**285**	1,312
Earnings before interest and income taxes	**64,084**	37,709
Interest expense (note 9)	**3,766**	1,324
Earnings before income taxes	**60,318**	36,385
Income taxes (note 10)	**21,564**	15,261
Earnings before minority interest	**38,754**	21,124
Minority interest	**57**	271
Net earnings	**$ 38,697**	$ 20,853
Basic and diluted earnings per share	**$ 1.80**	$ 0.97

See accompanying notes to consolidated financial statements.

CONSOLIDATED STATEMENTS OF RETAINED EARNINGS

(in thousands of Canadian dollars) Years ended	December 31, **2002**	December 31, 2001
Retained earnings, beginning of year	**$ 214,189**	$ 198,476
Net earnings	**38,697**	20,853
Dividends declared ($0.24 per share; 2001 – $0.24 per share)	**(5,140)**	(5,140)
Retained earnings, end of year	**$ 247,746**	$ 214,189

See accompanying notes to consolidated financial statements.

CONSOLIDATED STATEMENTS OF CASH FLOWS

(in thousands of Canadian dollars) Years ended	December 31, **2002**	December 31, 2001
CASH PROVIDED BY (USED IN):		
Operating Activities		
Net earnings	**$ 38,697**	$ 20,853
Items not affecting cash:		
Depreciation	**28,506**	20,027
Amortization	**—**	3,135
Minority interest	**57**	271
Future income taxes	**108**	(138)
Undistributed earnings of an associated company	**—**	8,986
Other	**(295)**	(1,629)
Changes in non-cash operating working capital	**25,112**	43,105
	92,185	94,610
Financing Activities		
Dividends paid	**(5,140)**	(5,140)
Increase in long-term debt	**333,456**	44,734
Decrease in long-term debt	**(98,676)**	(15,023)
	229,640	24,571
Investing Activities		
Additions to property and equipment	**(20,678)**	(11,729)
Proceeds from sale of property and equipment	**817**	313
Purchase of net assets of businesses, net of cash acquired (note 13)	**(288,910)**	(105,150)
	(308,771)	(116,566)
Increase in cash and cash equivalents	**13,054**	2,615
Cash and cash equivalents, beginning of year	**(665)**	(3,280)
Cash and cash equivalents, end of year	**$ 12,389**	$ (665)
Supplemental cash flow information:		
Interest paid	**$ 3,722**	$ 2,038
Income taxes paid	**18,464**	9,337

See accompanying notes to consolidated financial statements.

Years ended December 31, 2002 and 2001
(Tabular amounts in thousands of Canadian dollars, except share amounts)

1. THE COMPANY

Canada Bread Company, Limited ("Canada Bread" or the "Company") and its subsidiaries operate in the bakery industry across North America and internationally. Its principal business is the manufacture and sale of bakery and pasta products, including fresh bread and rolls, bagels and par-baked bread. Canada Bread was 68.3% owned by Maple Leaf Foods Inc. ("Maple Leaf") as at December 31, 2002. Maple Leaf's ownership interest increased to 73.3% in January 2003 (note 15).

2. SIGNIFICANT ACCOUNTING POLICIES

The following are the significant accounting policies of the Company. The preparation of periodic financial statements necessarily involves the use of estimates and approximations. Should the underlying assumptions change, the actual amounts could differ from those estimates.

(a) Principles of consolidation

The consolidated financial statements include the accounts of the Company and its subsidiaries. The Company had a 25% interest in Multi-Marques Inc., a Quebec-based bakery business, which was previously accounted for using the equity method. In the fourth quarter of 2001, the Company acquired the remaining 75% of Multi-Marques Inc. (note 13), and its results of operations have been consolidated from the date of acquisition.

(b) Translation of foreign currencies

The accounts of foreign subsidiaries, associated companies and joint ventures are translated into Canadian dollars using the exchange rate in effect at the year end for assets and liabilities and the average exchange rates for the year for revenue and expenses. Exchange gains or losses on translation will be deferred and included as a separate component in shareholders' equity until realized.

Other monetary assets and liabilities denominated in foreign currencies are translated at year-end exchange rates. Exchange gains and losses are recognized in current earnings.

Where the Company enters into forward exchange contracts to hedge the principal and interest on debt payable in foreign currencies, unrealized losses or gains on such contracts are matched with exchange gains or losses on the debt payable.

(c) Hedging arrangements

The Company may enter into hedging arrangements to manage its exposure to currency, commodity price and interest rate fluctuations. The gains and losses on these hedging instruments are recognized in the consolidated financial statements in the same period and are matched with the same financial statement category as the item to which the hedged position relates. Any accrued amounts receivable and payable under the terms of such contracts are included in accounts receivable and accounts payable, respectively.

(d) Inventories

Inventories are valued at the lower of cost and net realizable value, with cost being determined substantially on a first-in, first-out basis.

(e) Property and equipment

Property and equipment are recorded at cost, including, where applicable, interest capitalized during the construction or development period.

Depreciation is calculated using the straight-line basis at the following rates, which are based on the expected useful lives of the assets:

Buildings	2½% – 5%
Machinery and equipment	10% – 33⅓%

(f) Deferred financing costs

Costs incurred to obtain long-term debt financing are amortized over the term of such debt and are included in interest expense for the year.

(g) Goodwill

The excess of the purchase price over the estimated fair value of the identifiable net assets represents goodwill. Goodwill was amortized on a straight-line basis over periods ranging from 10 years to 40 years in 2001.

In September 2001, the Canadian Institute of Chartered Accountants ("CICA") issued Handbook Sections 1581, Business Combinations and 3062, Goodwill and Other Intangible Assets. The new standards required the purchase method of accounting for business combinations and required

that goodwill no longer be amortized but instead be tested for impairment at least annually. The Company has adopted these new standards as of January 1, 2002 and has discontinued amortization of all existing goodwill. Goodwill arising on business combinations completed after June 30, 2001 has not been amortized.

Effective January 1, 2002, the Company had unamortized goodwill of $127 million, which is no longer being amortized. This change in accounting policy has not been applied retroactively and the amounts presented for prior periods have not been restated for this change. To enable consistent comparison to prior periods, the following selected pro forma financial information is provided for 2001, assuming no goodwill amortization for 2001:

	2002	2001
Earnings from operations as reported	$ 63,799	$ 36,397
Add back goodwill amortization	—	3,135
Pro forma earnings from operations	$ 63,799	$ 39,532
Pro forma net earnings	$ 38,697	$ 23,981
Earnings per share as reported (basic and diluted)	$ 1.80	$ 0.97
Pro forma earnings per share (basic and diluted)	$ 1.80	$ 1.12

(h) Income taxes

The Company uses the asset and liability method of accounting for income taxes. Accordingly, future tax assets and liabilities are recognized for the future tax consequences attributable to differences between the financial statement carrying amounts of existing assets and liabilities and their respective tax bases. Future tax assets and liabilities are measured using enacted or substantively enacted tax rates expected to apply to taxable income in the years in which those temporary differences are expected to be recovered or settled. In addition, the effect on future tax assets and liabilities of a change in tax rates is recognized in income in the year that includes the enactment or substantive enactment date.

(i) Employee benefit plans

The Company accrues obligations under employee benefit plans and the related costs, net of plan assets. The cost of pensions and other retirement benefits earned by employees is actuarially determined using the projected benefit method prorated on service and management's best estimate of expected plan investment performance, salary escalation and retirement ages of employees. For the purpose of calculating the expected return on plan assets, those assets are valued at fair value. Past service costs arising from plan amendments are amortized on a straight-line basis over the average remaining service period of employees active at the date of amendment. The net actuarial gain (loss) is amortized over the average remaining service period of active employees.

(j) Statement of cash flows

Cash and cash equivalents are defined as cash and short-term securities with maturities less than 90 days at the date of acquisition, less bank indebtedness.

(k) Comparative figures

Certain 2001 comparative figures have been reclassified to conform with the financial statement presentation adopted in 2002.

(l) Recently issued accounting pronouncements

(i) Impairment of Long-Lived Assets

In December 2002, the CICA issued Handbook Section 3063, Impairment of Long-Lived Assets and revised Section 3475, Disposal of Long-Lived Assets and Discontinued Operations. Section 3063 requires that an impairment loss be recognized when the carrying amount of an asset to be held for use exceeds the sum of the undiscounted cash flows expected from its use and disposal; the impairment loss recognized is the amount by which the carrying amount of the asset exceeds its fair value. Section 3475 requires that assets classified as held-for-sale be measured at the lower of their carrying amounts or fair value, less costs to sell. The Company intends to adopt these standards as of January 1, 2003.

(ii) Hedging Relationships

Accounting Guideline 13, Hedging Relationships establishes new criteria for hedge accounting and will apply to all hedging relationships in effect on or after January 1, 2004. On January 1, 2004, the Company will re-assess all hedging relationships to

determine whether the criteria are met or not and will apply the new guidance on a prospective basis. To qualify for hedge accounting, the hedging relationship must be appropriately documented at the inception of the hedge and there must be reasonable assurance, both at the inception and throughout the term of the hedge, that the hedging relationship will be effective. Effectiveness requires a high correlation of changes in fair values or cash flows between the hedged item and the hedging item. The Company is in the process of formally documenting all hedging relationships and expects that all transactions will meet the new hedging accounting criteria.

3. ACCOUNTS RECEIVABLE

Under revolving securitization programs, the Company has sold, with limited recourse, certain of its trade accounts receivable to financial institutions. The Company retains servicing responsibilities and assumes limited recourse obligation for delinquent receivables. At year end, trade accounts receivable amounting to $50 million (2001 – $48 million) had been sold under these programs.

4. PROPERTY AND EQUIPMENT

	2002	2001
Land	$ 25,337	$ 22,389
Buildings	123,496	101,634
Machinery and equipment	361,698	254,956
Construction in progress	13,175	4,069
	523,706	383,048
Less accumulated depreciation	189,100	131,878
	$ 334,606	$ 251,170

5. LONG-TERM DEBT

	2002	2001
Revolving term facility (i)	$ 9,500	$ 30,000
Demand term loans	—	6,742
Revolving term facility (ii)	6,600	6,600
Revolving term facility (iii)	198,500	—
Note Payable (iv)	75,000	—
Other (v)	1,363	1,596
Obligations under capital leases	707	175
	291,670	45,113
Less:		
Current portion	7,954	8,838
Portion classified as equity (iii)	20,000	—
	27,954	8,838
	$ 263,716	$ 36,275

(i) In July 2001, Canada Bread established a debt facility with a syndicate of banks to finance the acquisition of Multi-Marques Inc. and provide liquidity for general corporate purposes. The facility is structured as follows:

(a) a $99 million revolving/reducing term facility, maturing in 2005.

(b) a committed four-year $20 million revolving facility, which matures in 2005.

These facilities can be drawn in either Canadian or U.S. dollars and bear interest based on Bankers' Acceptance rates for Canadian dollar loans and LIBOR for U.S. dollar loans. At December 31, 2002, $15.7 million (2001 – $36.0 million) was utilized under this facility (including drawings of $6.2 million in respect of letters of credit).

(ii) The Company has available a revolving term facility in the amount of $6.6 million, which bears interest based on Bankers' Acceptance rates. The facility is subject to annual renewal each June, at the option of the lender.

(iii) In December 2002, Canada Bread established a $215 million revolving debt facility with Maple Leaf to fund the acquisition of the Maple Leaf Bakery Group (note 13) and to provide liquidity for general corporate purposes. This revolving facility is extendable, at the Company's option, each year, subject to a final maturity date of December 27, 2005. At December 31, 2002, $198.5 million was outstanding under this facility. In January 2003, the Company repaid $100.0 million of this amount from the proceeds of an equity financing (note 15), and the credit facility was permanently reduced from $215 million to $109 million. Canada Bread has an option to repay up to $20 million of debt outstanding under this facility in common shares and this amount has been classified as a separate component of shareholders' equity.

(iv) In December 2002, Canada Bread issued a Promissory Note Facility to Maple Leaf in the amount of $75 million. This promissory note was repaid in January 2003 from drawings under its syndicated bank facility (described in (i) above).

(v) Subsidiaries of the Company have various other non-interest bearing loans which are repayable over various terms from 2002 to 2007. The amount outstanding at year end was $1.4 million.

In addition, the Company has undrawn demand overdraft facilities of $22.6 million (2001 – $10.2 million), which bear interest at short-term rates. At year end, there were no amounts outstanding under these facilities.

The Company's various facilities with Canadian chartered banks and other lenders, all of which are unsecured, are subject to certain financial covenants.

Required repayments of long-term debt for the next five years, adjusted for January 2003 transactions, are as follows:

2003	$ 107,954
2004	154
2005	183,444
2006	92
2007	26
	$ 291,670

6. DERIVATIVE FINANCIAL INSTRUMENTS AND RISK MANAGEMENT

In the ordinary course of business, the Company enters into derivative financial instruments with Maple Leaf as its counterparty to reduce underlying risks associated with foreign currency and interest rates.

(a) Foreign currency risk management

The Company uses foreign currency forward contracts and options to manage its currency exposure. The currency exposure relates primarily to U.S. dollar-denominated export sales and U.S. dollar-denominated purchases (wheat).

At December 31, 2002, the Company had no outstanding commitments in respect of foreign currency contracts (2001 – US$1.2 million).

(b) Interest rate risk management

The Company uses interest rate swaps to manage its exposure to interest rate fluctuations. At December 31, 2002, the Company had entered into interest rate swap contracts with Maple Leaf, having an aggregate notional amount of $60 million (2001 – $73 million) and maturity dates ranging from July 12, 2003 to July 12, 2005. The fixed rates payable by the Company under these contracts range from 3.10% to 4.40%.

Based on market values at December 31, 2002, the Company would have realized a loss of $0.8 million (2001 – loss of $0.3 million) to terminate the above-noted swap agreements.

The Company's blended average effective cost of borrowing for 2002 was 3.1% (2001 – 5.3%), after adjusting for the payments made under swap contracts in place in 2002.

(c) Fair value of financial assets and liabilities

Fair value of accounts receivable, accounts payable and accrued charges, due to (from) parent company, and the current portion of long-term debt approximate their carrying value due to their short-term nature.

The fair value of long-term debt approximates its carrying value as it bears interest at floating rates.

7. SHAREHOLDERS' EQUITY

Shareholders' equity consists of the following:

	2002	2001
Share capital (21,416,812 common shares)	$ 36,965	$ 36,965
Retained earnings	247,746	214,189
Equity component of long-term debt (note 5)	20,000	—
	$ 304,711	$ 251,154

The authorized share capital of the Company consists of an unlimited number of common shares.

8. OTHER INCOME

	2002	2001
Earnings from an associated company (note 13)	$ —	$ 1,414
Gain (loss) on sale of property and equipment	80	(102)
Other	205	—
	$ 285	$ 1,312

9. INTEREST EXPENSE

	2002	2001
Interest expense on long-term debt	$ 1,784	$ 1,003
Other net interest expense	1,982	321
	$ 3,766	$ 1,324

10. INCOME TAXES

Income tax expense varies from the amount that would be computed by applying the combined federal and provincial statutory income tax rate as a result of the following:

	2002	2001
Income tax expense according to combined statutory rate of 38.6% (2001 – 41.9%)	**$ 23,283**	$ 15,245
Increase (decrease) in income taxes resulting from:		
Manufacturing and processing credit	**(2,579)**	(2,246)
Non-taxable gains	**(11)**	(12)
Non-deductible goodwill amortization	**—**	1,075
Equity in earnings of associated company	**—**	(541)
Large Corporations Tax	**177**	200
Other	**694**	1,540
	$ 21,564	$ 15,261

Income tax expense attributable to net income consists of:

	Current	Future	Total
2002	**$ 21,456**	**$ 108**	**$ 21,564**
2001	15,399	(138)	15,261

The tax effects of temporary differences that give rise to significant portions of the future tax assets and future tax liabilities at December 31, are presented below:

	2002	2001
Future tax assets:		
Accrued assets	**$ 2,734**	$ 3,120
Other	**3,419**	2,000
	$ 6,153	$ 5,120
Future tax liabilities:		
Plant and equipment – differences in net book value and undepreciated capital cost	**$ 32,409**	$ 35,453
Taxes payable regarding accrued liabilities	**—**	1,760
Other	**2,649**	2,995
	$ 35,058	$ 40,208
Classified in the consolidated financial statements as:		
Future tax asset – current	**$ 5,274**	$ 3,094
Future tax liability – non-current	**34,179**	38,182
Net future tax liability	**$ 28,905**	$ 35,088

11. PENSIONS AND OTHER POST-RETIREMENT BENEFITS

Information about the Company's defined benefit plans as at December 31, in aggregate, is as follows:

	2002	2001
Accrued benefit obligation:		
Balance, beginning of year	**$ 74,139**	$ 70,480
Addition of Multi-Marques Plan (note 13)	**18,317**	—
Current service cost	**2,176**	1,781
Interest cost	**6,229**	4,983
Benefits paid	**(7,155)**	(5,528)
Actuarial losses	**2,692**	215
Employees' contributions	**1,736**	1,033
Plan amendments	**131**	1,175
Balance, end of year	**$ 98,265**	$ 74,139
Plan assets:		
Fair value, beginning of year	**$ 78,197**	$ 83,051
Addition of Multi-Marques Plan (note 13)	**17,412**	—
Actual return on plan assets	**(5,649)**	(730)
Employer contributions	**746**	371
Employees' contributions	**1,736**	1,033
Benefits paid	**(7,155)**	(5,528)
Asset transfer to Company defined contribution plan	**(106)**	—
Fair value, end of year	**$ 85,181**	$ 78,197
Funded status – plan surplus (deficit)	**$ (13,084)**	$ 4,058
Unamortized transitional amount	**(9,782)**	(10,560)
Unamortized investment loss	**24,716**	9,281
Unamortized prior service cost	**1,021**	1,098
Accrued benefit asset	**$ 2,871**	$ 3,877

The significant actuarial assumptions adopted in measuring the Company's accrued benefit obligations are as follows as of December 31:

	2002	2001
Discount rate	**6.50%**	6.75%
Expected long-term rate of return on plan assets	**7.50%**	8.00%
Rate of compensation increase	**4.00%**	4.00%

The Company's net benefit plan expense (income) for the year ended December 31 is as follows:

	2002	2001
Current service cost – defined benefit plan	**$ 2,176**	$ 1,781
Interest cost	**6,229**	4,983
Expected return on plan assets	**(7,461)**	(6,509)
Amortization of transitional obligation	**(778)**	(778)
Actuarial gain recognized	**137**	—
Amortization of prior service cost	**207**	77
	$ 510	$ (446)

The expense during the year for the defined contribution plan was $3.6 million (2001 – $1.9 million).

12. RELATED PARTY TRANSACTIONS

(a) Maple Leaf provides the Company with certain management services, including treasury, taxation, internal audit, accounting and access to bulk purchasing programs. Pursuant to a Management and Affiliation Agreement entered into in August 1995, the Company paid a management and affiliation fee of $4.5 million (2001 – $3.4 million) to Maple Leaf, which approximates the cost of providing these services.
(b) The Company entered into a Management Services Agreement with Maple Leaf Foods USA Inc. ("Maple Leaf USA"), whereby Maple Leaf USA administered and supervised the management of the Company's U.S. operations commencing January 1996. The cost of providing this service was included in the management and affiliation fee. The independent members of the Board of Directors approved both agreements. Under this agreement, sales of product in the United States that is manufactured in the Canadian facilities are managed by Maple Leaf USA. The sales value and profitability related to these sales are recorded in the Company's financial statements. Sales under this agreement during the year were $81.1 million (2001 – $72.4 million), which represent 89% (2001 – 94%) of total export sales. The Company also sells products from time to time to other Maple Leaf divisions or subsidiaries in the normal course of business at market amounts.
(c) The Company received certain information system services from Maple Leaf for a cost of $2.3 million (2001 – $2.4 million).

13. ACQUISITIONS

In 2001, the Company acquired the remaining 75% interest in Multi-Marques Inc., to hold 100%, and in April 2002, the Company acquired the remaining 40% of the shares of Ben's Limited in Atlantic Canada, to hold 100%, for $12.9 million.

In July 2002, the Company acquired all of the outstanding shares of Olafson's Baking Company Inc. ("Olafson's") of Delta, British Columbia. The initial purchase price was $11.5 million. Additional consideration, up to a maximum of $11.0 million, may be payable depending on the attainment of certain financial targets, up until February 28, 2004. The results of operations of Olafson's have been included since the date of acquisition.

In October 2002, Maple Leaf acquired Grace Baking Company of San Francisco, California. In December 2002, Canada Bread purchased all of Maple Leaf's U.S. and U.K. bakery operations, including Grace Baking Company ("Maple Leaf Bakery Group"), for approximately $262.0 million, inclusive of debt assumption. These operations have not been reflected in the consolidated statement of earnings for 2002, but are included in the consolidated balance sheet as at December 31, 2002. The Company has not yet completed the determination of fair values of the individual assets and liabilities acquired, or its restructuring and integration plans for the operations acquired in the Olafson's and Maple Leaf Bakery Group acquisitions. Accordingly, the allocation of the purchase cost to the assets and liabilities acquired is preliminary and will change as restructuring plans are finalized. No restructuring costs have been accrued in the preliminary purchase accounting included in these financial statements, or accrued with respect to any restructuring of existing Canada Bread operations that may result from the integration plans, when finalized.

Details of net assets acquired are as follows:

			2002	2001
	Maple Leaf Bakery Group	Other	**Total**	Total
Cash	$ (992)	$ 737	**$ (255)**	$ 30,920
Net working capital	2,792	(2,561)	**231**	6,283
Other long-term assets	845	(1,715)	**(870)**	301
Property and equipment	96,929	(6,254)	**90,675**	104,191
Goodwill and other intangibles	170,319	48,779	**219,098**	55,891
Long-term debt and debt due to parent company	(19,290)	(14)	**(19,304)**	(15,125)
Future income taxes	982	5,308	**6,290**	(12,024)
Minority interest	—	4,405	**4,405**	(4,078)
Net assets of acquired companies	251,585	48,685	**300,270**	166,359
Less carrying value of 25% interest already owned in Multi-Marques Inc.	—	—	**—**	30,289
Total purchase cost	$ 251,585	$ 48,685	**$ 300,270**	$ 136,070

	2002	2001
Consideration:		
Cash	**$ 288,655**	$ 136,070
Accounts payable and accrued charges and due to parent company	**11,615**	—
	$ 300,270	$ 136,070

14. CONTINGENCIES AND COMMITMENTS

(a) The Company has been named as defendant in several legal actions and is subject to various risks and contingencies arising in the normal course of business. Management is of the opinion that the outcome of these uncertainties will not have a material adverse effect on the Company's consolidated financial position.

(b) In the normal course of business, the Company enters into sales commitments with various customers and purchase commitments with various suppliers. These commitments are for varying terms and can provide for fixed or variable prices. The Company believes these contracts serve to reduce risk, and it is not anticipated that losses will be incurred on these contracts.

(c) The Company has operating lease commitments in respect of property and equipment used in operations which require minimum annual payments as follows:

2003	**$ 11,820**
2004	**8,777**
2005	**5,077**
2006	**2,129**
2007	**1,220**
Thereafter	**40**
	$ 29,063

15. SUBSEQUENT EVENTS

On February 4, 2003, Canada Bread announced the planned closure of its London, Ontario fresh baking facility. The Company estimates that the costs of closure will result in a special charge to earnings in the first quarter of 2003 of approximately $5 million before tax (approximately $3 million after tax).

On January 28, 2003, Canada Bread issued 4 million shares to Maple Leaf from treasury at $26.50 per share in a private placement transaction. The $26.50 price represents a 24% premium to the average closing price for Canada Bread common shares for the 10 days preceding the announcement. Proceeds from the financing of $106 million have been used to pay down debt under the Company's existing credit facility with Maple Leaf. Prior to this transaction, Maple Leaf owned 68.3% of the outstanding common shares. After the issuance of shares, Maple Leaf now owns approximately 73.3% of the outstanding common shares of the Company.